

To signatories to the Comprehensive Settlement for SoCalGas & SDG&E:

A few more "errata" I plan to make, absent objection:

A. Creditworthiness Sections (1.2.3.2 and 2.2.3.2):

In 1.2.3.2 on p.21, under b., subitem ii. should have "or" inserted at the end of the subitem and the "or" at the end of subitem iii. should be stricken (so that the reports or forms listed in i., ii., and iii. are alternatives to each other (customer only has to provide one of the three) and subitems iv. and v. are additional required items).

In 2.2.3.2 on pp.36-37, make parallel changes in the "or"s as stated above.

On p.22, under h., subitems i. through v. should be indented more than h. and then items j), k) and l) should be renumbered i., j., k. (this will then match section 2.2.3.2, which has the correct spacing/alphanumericing).

On p.22 and p.37, we'd like to drop the reference to "U.S." in the reference to a letter of credit issued by a major "U.S." financial institution. SoCalGas has realized that it has already had dealings with Canadian or other foreign-owned customers where it was reasonable to rely on letters of credit from major financial institutions of the parent's country. (This should be ok with Paul Amirault, eh?)

B. Btu content

On pp.10 (twice) and 31, the settlement says we are assuming 1,016 Btu/mcf for the heating value of gas (subject to revision by Commission during term of settlement). We have the wrong units. It is 1,016 Btu per cubic foot, not per thousand cubic feet. We'd propose to change the number to 1,016 Btu/cf (not "1,016 Btu/mcf") On p.33, we got the units right the first time and don't need to change them on that page.

Again, I'd appreciate you getting back to me or Brian Cherry by noon Friday if you have any problem with the above changes.

-- Glen Sullivan

-----Original Message-----

From: Sullivan, Glen J.

Sent: Wednesday, April 26, 2000 12:58 PM

To: 'MBD'; 'Leslie, John'; 'Elsesser, Evie'; 'McCrea, Keith'; 'Pocta, R. Mark'; 'Dasovich, Jeff'; 'Beach, Tom'; 'Burkholder, John'; 'Amirault, Paul'; 'Alexander, Michael'; 'Chancellor, Craig'; 'Dingwall, B.'; 'Douglass, Dan@SES'; 'Fawcett, Jeff'; 'Porter, Doug'; 'Rochman, Michael'; 'Counihan, Rick'; 'Bayless, David'; 'Paul, Joe'; 'Jimison, John'; 'Foss, Robert'; 'McVay, Nancy W - TPNWM'; 'Scott, Susan'; 'Karp, Joe'; 'Johnson, Pamela'; 'gileau, patrick'

Cc: Lorenz, Lad - TPLPL; Nelson, Eric B. - TPEBN; Morrow, Rick - TP3RMM; Follett, B. David - TPDBF; Brill, Thomas R.; Van Lierop, Jan - TP2JXV; Harrigan, James P. - TP1JPH; Sakarias, Wayne P.; Purves, Ralph A.; Teeter, James S.; Watson, Steven - TP2SAW; Cherry, Brian - TPBKC;

Whitaker, Sue

Subject: RE: Gas Industry Settlement

To signatories to the Comprehensive Settlement:

ALJ Biren has given us until Friday of this week (April 28, 2000) to file "errata" to the Comprehensive Settlement.

So far, I am planning to make the following non-substantive changes:

1. The table of contents was seriously messed up by an "automatic update" feature in Word just before we duplicated and filed. I will be putting it back to the state you saw in the final draft.
2. On p.7, section 1.12, put a period at the end of the last sentence.
3. On p.9, section 1.1.3.1, two thirds of the way down the page, I will be changing "subject to adjustment annual by the base rate PBR formula" to "subject to adjustment annually by the base rate PBR formula".
4. On p.27, section 1.5.4, in the third full paragraph on the page, I will be changing "If only one customer has an OFO day" to "If only one customer class has an OFO day".
5. Also on p.27, section 1.5.4, bottom line on the page, I will be filling in the blank with "C" (so it reads "Appendix C")

In the category of "maybe substantive",

1. On p.10, section 1.1.3.2, three lines from the bottom of the page, the date "October 1, 2000" would be changed to "October 1, 2001". This sentence refers to including the cost of backbone transmission for core customers buying gas from SoCalGas in the "procurement" rate. Obviously, our intent was to do that only once we had unbundled backbone transmission, which happens on October 1, 2001.

In the category of "substantive":

1. Our capacity term sheet had said that we would unbundled "additional" (non-reliability) storage for CTAs effective upon implementation of the settlement (See p.4). The filed settlement managed to drop the section that provided for this option for CTAs prior to the principal storage change on April 1, 2001. (The filed settlement is ok for the period starting April 1, 2001). So, to be consistent with the term sheet, we need to insert something back into the settlement to allow CTAs to opt out of non-reliability storage in the period from the effective date (90 days after approval) to April 1, 2001. Obviously, this may not be a very long period. John Leslie has suggested inserting at the very beginning of Section 5.4.4.3: "In the partial storage year beginning on the effective date of this Settlement Agreement, and....[continue with current text]." We would need to cover as part of implementation filings the exact mechanism/pricing for SoCalGas purchasing gas in storage owned by CTAs if they opt out of nonreliability storage prior to April 1, 2001. SoCalGas and SDG&E are ok with John's language and want to make sure it is ok with other signatories.

If you have any problems with any of these changes, please contact me or Brian Cherry by noon on Friday, April 28. My email is gsullivan@sempra.com and my phone is (619) 699-5162. Brian's email is bcherry@sempra.com and phone is (213) 244-3895.

We are looking at the possibility of two or three additional changes, and Brian may send you a follow-up message.

-- Glen Sullivan
Sempra Energy Law Dept.